October 9, 2023

Dear Summerhill Association Homeowner:

This letter is to notify you of the Annual Meeting of Members of Summerhill Association, Inc., a Minnesota non-profit corporation, to be held at Penn Lake Library, located at 8800 Penn Ave. S., Bloomington, MN at 6:30 p.m. on Monday, October 30, 2023. Registration will begin at 6:00 p.m. The required legal notice, an agenda of the meeting, minutes from the last annual meeting, and an annual report are enclosed.

The primary purpose of the meeting is to elect two (2) members to serve on the Board of Directors. Both positions will be for three-year terms each.

Any Summerhill member/owner is urged to nominate him/herself and/or other members to serve on the Board of Directors and is invited to submit such nomination by completing the enclosed nomination form and emailing it to Lisa Murphy at lisa.murphy@fsresidential.com or mailing it to Lisa Murphy, c/o FirstService Residential. An addressed envelope is enclosed for convenience. Nominees will be contacted in advance of the meeting to determine their willingness to accept the nomination. Nominees who accept the nomination will be asked to provide a resume and/or statement for distribution to homeowners in advance of the meeting.

The above procedure, of course, does not preclude other nominations from the floor during the course of the meeting, provided, however, that any such nominees are present to indicate their willingness to serve on the Board if elected.

After nominations for candidates are closed, all nominees will be given an opportunity to say a few words about his or her background and qualifications and their views about policies and management of Summerhill.

Members will then vote by secret ballot for two persons to serve on the Board of Directors. The election monitors, to be appointed by the presiding officer or elected, will collect the ballots and report back to the meeting the nominees receiving the highest number of votes. The election monitors will be asked to keep the results of the vote confidential, except to announce the nominees receiving the highest number of votes and then destroy the ballots.

Members are respectfully requested and urged to participate in the election process and to cast their votes at the Annual Meeting of Members on October 30th.

Members who are unable to attend the meeting may cast a vote, to which the member is entitled, and be counted as present, by giving a written proxy to one of the board members or another member or resident of the Association. Completed proxies should be mailed to the Association, c/o FirstService Residential, in the same envelope provided. The form of proxy referred to in this paragraph is also enclosed.

Pat Becker, President of the Association, will chair the meeting and respond to all questions that may be raised. If, in the meantime, you have any questions, please feel free to contact the undersigned. The purpose of the meeting is informational as there is no scheduled election this year.

If, in the meantime, you have any questions, please feel free to contact me at lisa.murphy@fsresidential.com.

Yours very truly,

FirstService Residential Minnesota, Inc.

Lisa Murphy, AMS
Association Manager

LM/lh

Enclosures

SUMMERHILL ASSOCIATION, INC.
8007-8037 XERXES AVENUE SOUTH
BLOOMINGTON, MN 55431
*** ***

NOTICE OF ANNUAL MEETING OF MEMBERS

October 30, 2023
Annual Meeting Time
6:30 p.m.
*** ***

To the Members of Summerhill Association:

You are hereby notified that the Annual Meeting of Members of Summerhill Association, Inc., a Minnesota non-profit corporation, will be held at the Penn Lake Library, located at 8800 Penn Ave. S., Bloomington, MN on Monday, October 30, 2023, at 6:30 p.m. with registration commencing at 6:00 p.m. for the following purpose:

> To elect from the members of the Association two (2) Directors. Both positions will be for three-year terms each.

Each Owner of a Unit in Summerhill Association is automatically a member of the Association. Each member shall be entitled to one (1) vote for each Unit in which he or she holds the interest required for Ownership.

When more than one person holds an interest in a Unit, the vote for the Unit shall be exercised as they, between or among themselves determine, but in no event shall more than one vote be cast with respect to any Unit.

Votes may be cast in person or by proxy. Proxies are required to be filed with the Secretary before the meeting. For Unit Owners who may wish to vote by proxy, a form of proxy is enclosed, along with a self-addressed return envelope. If a Unit Owner sends in a proxy and later decides to attend the meeting, the proxy is revoked and the Unit Owner may vote in person.

By Order of the Board of Directors,

Lindsey Hruza

_____

p.p. Scott Scheving, Member at Large

Summerhill
c/o Ms. Lisa Murphy
FirstService Residential
8100 Old Cedar Ave S, Suite 300
Bloomington, MN 55425

Dear Ms. Murphy:

In accordance with the procedures adopted by the Board of Directors of Summerhill, I(we) hereby nominate myself and/or the following other member(s) to serve on the Board of Directors of Summerhill, the election to take place at the Annual Meeting of Members on October 30, 2023:

1) _____
(Insert Name)

2) _____
(Insert Name)

3) _____
(Insert Name)

I(We) understand that each person nominated will be contacted in advance of the meeting to determine his or her willingness to accept the nomination.

I(We) further understand that nominations can also be made from the floor during the course of the meeting.

Yours very truly,

_____ _____
Name Unit #

_____ _____
Name Unit #

_____, 2023
Date

Please complete and return to the offices of FirstService Residential on or prior to October 30, 2023, in the enclosed self-addressed envelope.

SUMMERHILL ASSOCIATION

PROXY

The undersigned member(s) of Summerhill Association do(es) hereby constitute and appoint Pat Becker, President of Association, OR, instead,

_____
(Insert name of person if other than Pat Becker)

My (our) true and lawful attorney to attend the Annual Meeting of Members of said Association, to be held on October 30, 2023, with full power to act and vote on my(our) behalf on any business that may come before such meeting or any adjournment or continuance thereof as fully as I(we) could do if personally present and acting.

Dated this _____ day of _____ 2023

_____
Name

_____
Name

_____
Unit number

Note: This proxy is required to be dated and signed. If the homeowner signs an additional(s) proxy, the one with the latest date will be precedent.

SUMMERHILL ASSOCIATION

ANNUAL MEETING OF MEMBERS

MONDAY, OCTOBER 30, 2023

6:30 p.m.

AGENDA

1. Call Meeting to Order
2. Certification of Mailing
3. Certification of Quorum
4. Secretary's Report
5. Treasurer's Report
6. Appointment of Election Monitors
7. Nominations and Introduction of Nominees
8. Vote and Announcement of Election Results
9. Old Business
10. New Business
11. Adjournment

SUMMERHILL ASSOCIATION, INC.

ANNUAL MEETING MINUTES
October 20, 2022

The 2021 Annual Meeting of the Summerhill Association, Inc. ("Association") was held on October 20, 2022 at 6:30 p.m. at the 8031 Xerxes Ave. Garage, Bloomington, MN 55437. Board Members present were Mary Irmiger, Scott Scheving, Pat Becker and Joe Swanson. Lisa Murphy from FirstService Residential was also present.

Roll call was taken and a quorum was established with at least 40% of the membership represented in person or via proxy.

The meeting was called to order at 6:30p.m.

Introductions of Board Members and FirstService Residential employees.

MINUTES:

A motion was made and seconded, and unanimously carried to approve the minutes from the October 25, 2021 Annual Meeting Minutes.

FINANCIAL REPORT:

Reviewed the year ending financials as of 7/31/2022. Reviewed the current financials as of 9/30/22.

ANNUAL REPORT:

Discussion of Financial Condition, Reserve Fund Balance on July 31, 2022 was $325,842. Discussion about Capital Expenditures and future replacement items. A recent loan was taken out to cover several roof replacements.

Association insurance is with State Farm and reviewed the need for owners to ensure their HO6 policy is up to date and gap insurance in place.

BOARD OF DIRECTOR REPORT:

Board members and volunteers continue to complete many tasks that help to keep the operating expenses down. Some of the items completed by volunteers include boiler readings, painting touchups, light bulb changes, regular site clean-up, flower planting, notice postings and many other tasks. Thank you to all volunteers and Board members for their work.

Operating expenses continue to rise. The Board is seeking a loan to pay for the remaining roof replacements needed.

HO6 Policy Review: Imperative to keep up-to-date personal property insurance. SummerHill Association has a $25,000 Deductible. Homeowners should check with their insurance agents to ensure proper coverage for the gap in coverage.

Window replacements and deck flower boxes are a homeowner responsibility.

ELECTION:

The floor was open for nominations. There were no nominations from the floor. Four candidates were seeking election for the three open Board positions. Members seeking election were Pat Becker, Barbara Hanson, Doug Kojetin and Joseph Swanson.

Ballots were tabulated by two volunteers. The members elected to the Board of Directors for three-year terms each, were Pat Becker, Doug Kojetin and Joseph Swanson.

Open Forum: The Board answered questions from the members.

- Future roof replacements
- Discussion about the reserve balance and need for additional funds for future replacement projects. A reserve study was available for review.
- The need for siding repairs was discussed. Repairs are being completed now.
- Volunteer needs: weekly inspections, plant flowers, water flowers, sweep entry, propane pick up for grills, ice melt on sidewalks, and other projects as they arise.

ADJOURNMENT:

A motion was made and seconded, and unanimously carried to adjourn the meeting at 7:30 p.m.

Respectfully submitted,

Lisa Murphy, AMS
FirstService Residential Minnesota, Inc.

2023 ANNUAL REPORT

SUMMERHILL ASSOCIATION

BLOOMINGTON, MN 55431

Prepared by: Lisa Murphy, AMS

FirstService
RESIDENTIAL

8100 Old Cedar Ave. S., Suite #300
Bloomington, MN 55425

SUMMERHILL ASSOCIATION
2023 Annual Report

STATEMENT OF CAPITAL EXPENDITURES

A statement of any capital expenditure in excess of two percent (2%) of the current budget or $5,000, whichever is the greater, approved by the Association during the current fiscal year (2023) or following two fiscal years (2024/2025):

2022/23
Roofing & Loft Siding Replacements; $192,196
Siding Replacements; $23,000

2023/24
Balcony and Structure Repairs/Replacements

STATEMENT OF RESERVE FUND

A statement of the Association's total replacement reserves, the components of the common interest community for which the reserves are set aside, and the amounts of the reserves, if any, that the Board has allocated for the replacement of each of those components:

The reserve fund balance as of July 31, 2023 is $158,879.28. The property components for which these funds are accrued are noted on the capital plan located at https://Summerhill.connectresident.com. None of these funds have been designated for a specific property component.

STATEMENT OF FINANCIAL CONDITION

A copy of the statement of revenues and expenses for the Association's last fiscal year, and a balance sheet as of the end of said fiscal year:

See attached Income and Expense Report and the Balance Sheet for the period ending July 31, 2023.

STATEMENT OF PENDING LITIGATION

A statement of the status of any pending litigation or judgements in which the Association is a party:

None of which the Board is aware.

STATEMENT OF INSURANCE COVERAGE

A statement of the insurance coverage provided by the Association:

Carrier: **State Farm Insurance**
Agent: **Cary Charlson – (651) 770-1849**
Period: **8/1/2023 - 8/1/2024**

Coverage:

Property Casualty	**$22,480,500**
Deductible	**$25,000 per Occurrence**
Guaranteed Replacement Cost	**Yes**
General Liability	**$1,000,000/per occurrence** **$2,000,000/aggregate**
Crime / Fidelity Bond	**$330,000**
Directors & Officers Liability	**$2,000,000**
Umbrella	**$5,000,000**
Equipment Breakdown	**Yes**
Volunteer Policy	**Yes**
Worker's Compensation	**Yes**

The association master insurance policy provides coverage as follows:

- Ceiling finishing materials – **covered**
- Wall finishing materials – **covered**
- Carpeting – **covered**
- Finished flooring other than carpeting – **covered**
- Cabinetry – **covered**
- Finished millwork – **covered**
- HVAC serving a single unit – **covered**
- Electrical fixtures serving a single unit – **covered**
- Plumbing fixtures serving a single unit – **covered**
- Built-in appliances – **covered**
- Improvements/betterments made after sale – **Not covered**

STATEMENT OF PAST DUE ASSESSMENTS

A statement of the total past due assessments on all units, current as of not more than 60 days prior to the date of the meeting:

The total of past due assessments as of August 31, 2023 is $3,007.75.

c/o FirstService Residential
8100 Old Cedar Ave South #300
Bloomington MN 55425

Operating Assets			
US Bank Checking	18,250.72		
Accounts Receivable	2,254.75		
Prepaid Insurance	9,736.24		
Total Operating Assets		30,241.71	
Reserve Assets			
US Bank Reserve	122,997.42		
US Bank Special Assessment	35,881.86		
Total Reserve Assets		158,879.28	
Total Assets			189,120.99
Operating Liabilities			
Accounts Payable	14,060.96		
Accrued Expenses	599.77		
Legal Chargeback	80.00		
Prepaid Dues	2,203.26		
Deferred Revenue	5,703.75		
Total Operating Liabilities		22,647.74	
Reserve Liabilities			
First Citizens Bank Note Payable	260,102.00		
Total Reserve Liabilities		260,102.00	
Operating Equity			
Operating Income/(Loss)	(22,751.57)		
Operating Equity	30,345.54		
Total Operating Equity		7,593.97	
Reserve Equity			
YTD Deposit to Reserves	77,000.00		
Interest on Reserves	4,451.66		
Capital Expenditures	(211,867.87)		
Loan Interest	(11,113.62)		
Reserve Equity	40,307.11		
Total Reserve Equity		(101,222.72)	
Total Liabilities & Equity			189,120.99

Summerhill Association, Inc.
Operating Income Statement
07/31/2023

c/o FirstService Residential
8100 Old Cedar Ave South #300
Bloomington MN 55425

	Monthly Actual	Monthly Budget	Monthly Variance	Year to Date Actual	Year to Date Budget	Year to Date Variance	Annual Budget
Association Dues	34,443.00	34,516	(73.00)	413,316.00	414,225	(909.00)	414,225
Cable Program Income	0.00	0	0.00	2,632.50	2,633	(0.50)	2,633
Other Income	90.00	0	90.00	2,040.00	0	2,040.00	0
Total Income	**34,533.00**	**34,516**	**17.00**	**417,988.50**	**416,858**	**1,130.50**	**416,858**
Expenses							
Elec - 07 & 13	782.41	637	(145.41)	9,283.80	7,600	(1,683.80)	7,600
Elec - 19,25,31&37	1,049.09	1,000	(49.09)	11,900.06	12,000	99.94	12,000
Gas - 07 & 13	59.57	212	152.43	2,405.53	2,500	94.47	2,500
Gas - 19,25,31&37	540.20	1,788	1,247.80	23,909.10	21,500	(2,409.10)	21,500
Water/Sewer	4,998.03	3,516	(1,482.03)	36,132.02	26,500	(9,632.02)	26,500
Trash Removal	2,228.72	1,250	(978.72)	18,152.89	15,000	(3,152.89)	15,000
Cable TV	4,899.76	4,788	(111.76)	57,935.67	57,500	(435.67)	57,500
Subtotal - Utilities	**14,557.78**	**13,191**	**(1,366.78)**	**159,719.07**	**142,600**	**(17,119.07)**	**142,600**
Subtotal - Payroll & Related	**0.00**	**0**	**0.00**	**0.00**	**0**	**0.00**	**0**
Insurance	6,702.85	5,859	(843.85)	80,416.98	70,308	(10,108.98)	70,308
Subtotal - Insurance	**6,702.85**	**5,859**	**(843.85)**	**80,416.98**	**70,308**	**(10,108.98)**	**70,308**
Management Fee	2,490.00	2,490	0.00	29,400.00	29,400	0.00	29,400
Office and Administrative Expe	243.45	288	44.55	2,676.18	3,500	823.82	3,500
Legal	80.00	250	170.00	237.00	3,000	2,763.00	3,000
Audit/Tax Prep	0.00	0	0.00	1,290.00	1,250	(40.00)	1,250
Subtotal - Administrative	**2,813.45**	**3,028**	**214.55**	**33,603.18**	**37,150**	**3,546.82**	**37,150**
Mechanical/Electrical/Plumbing	4,320.13	1,337	(2,983.13)	16,405.67	16,000	(405.67)	16,000
Exterior Repairs	0.00	663	663.00	2,450.32	8,000	5,549.68	8,000
Interior Repairs	0.00	413	413.00	4,452.47	5,000	547.53	5,000
Maintenance Supplies	0.00	100	100.00	0.00	1,200	1,200.00	1,200
Custodial Services	1,178.55	1,100	(78.55)	13,645.68	13,200	(445.68)	13,200
Fire & Life Safety	0.00	587	587.00	3,377.54	7,000	3,622.46	7,000
Garage Maintenance	325.57	225	(100.57)	2,546.85	2,700	153.15	2,700
Subtotal - Repairs & Maintenan	**5,824.25**	**4,425**	**(1,399.25)**	**42,878.53**	**53,100**	**10,221.47**	**53,100**
Grounds Contract	3,274.14	3,513	238.86	32,407.21	29,000	(3,407.21)	29,000
Grounds Maintenance	0.00	288	288.00	6,464.60	3,500	(2,964.60)	3,500
Landscaping	485.44	163	(322.44)	2,678.14	2,000	(678.14)	2,000
Irrigation	0.00	0	0.00	4,613.20	2,000	(2,613.20)	2,000
Subtotal - Grounds	**3,759.58**	**3,964**	**204.42**	**46,163.15**	**36,500**	**(9,663.15)**	**36,500**
Property Taxes	0.00	13	13.00	134.16	200	65.84	200
Contingency	0.00	0	0.00	825.00	0	(825.00)	0
Subtotal - Other Expense	**0.00**	**13**	**13.00**	**959.16**	**200**	**(759.16)**	**200**
Deposit to Reserves	6,413.00	6,413	0.00	77,000.00	77,000	0.00	77,000
Subtotal - Reserve Contributio	**6,413.00**	**6,413**	**0.00**	**77,000.00**	**77,000**	**0.00**	**77,000**
Subtotal Shared	**0.00**	**0**	**0.00**	**0.00**	**0**	**0.00**	**0**

Summerhill Association, Inc.
Operating Income Statement
07/31/2023

c/o FirstService Residential
8100 Old Cedar Ave South #300
Bloomington MN 55425

	Monthly Actual	Monthly Budget	Monthly Variance	Year to Date Actual	Year to Date Budget	Year to Date Variance	Annual Budget
Total Expenses	**40,070.91**	**36,893**	**(3,177.91)**	**440,740.07**	**416,858**	**(23,882.07)**	**416,858**
Net Income/(Loss)	**(5,537.91)**	**(2,377)**	**(3,160.91)**	**(22,751.57)**	**0**	**(22,751.57)**	**0**

Summerhill Association, Inc.
Balance Sheet
08/31/2023

c/o FirstService Residential
8100 Old Cedar Ave South #300
Bloomington MN 55425

Operating Assets			
US Bank Checking	1,059.90		
Accounts Receivable	3,307.75		
Prepaid Insurance	20,967.48		
Total Operating Assets		25,335.13	
Reserve Assets			
US Bank Reserve	128,096.51		
US Bank Special Assessment	35,904.72		
Due from Operating	(2,120.88)		
Total Reserve Assets		161,880.35	
Total Assets			187,215.48
Operating Liabilities			
Accounts Payable	3,115.11		
Accrued Expenses	2,231.59		
Due to Reserve	(2,120.88)		
Legal Chargeback	80.00		
Prepaid Dues	4,442.26		
Deferred Revenue	5,703.75		
Total Operating Liabilities		13,451.83	
Reserve Liabilities			
First Citizens Bank Note Payable	257,952.32		
Total Reserve Liabilities		257,952.32	
Operating Equity			
Operating Income/(Loss)	4,289.33		
Operating Equity	7,593.97		
Total Operating Equity		11,883.30	
Reserve Equity			
YTD Deposit to Reserves	7,750.00		
Interest on Reserves	417.53		
Capital Expenditures	(2,120.88)		
Loan Interest	(895.90)		
Reserve Equity	(101,222.72)		
Total Reserve Equity		(96,071.97)	
Total Liabilities & Equity			187,215.48

Summerhill Association, Inc.
Operating Income Statement
08/31/2023

c/o FirstService Residential
8100 Old Cedar Ave South #300
Bloomington MN 55425

	Monthly Actual	Monthly Budget	Monthly Variance	Year to Date Actual	Year to Date Budget	Year to Date Variance	Annual Budget
Association Dues	39,521.00	39,676	(155.00)	39,521.00	39,676	(155.00)	476,113
Cable Program Income	0.00	0	0.00	0.00	0	0.00	2,633
Other Income	300.00	0	300.00	300.00	0	300.00	0
Total Income	**39,821.00**	**39,676**	**145.00**	**39,821.00**	**39,676**	**145.00**	**478,746**
Expenses							
Elec - 07 & 13	730.31	708	(22.31)	730.31	708	(22.31)	8,500
Elec - 19,25,31&37	958.95	1,000	41.05	958.95	1,000	41.05	12,000
Gas - 07 & 13	59.91	200	140.09	59.91	200	140.09	2,400
Gas - 19,25,31&37	486.93	1,900	1,413.07	486.93	1,900	1,413.07	22,800
Water/Sewer	2,231.59	100	(2,131.59)	2,231.59	100	(2,131.59)	29,000
Trash Removal	2,737.53	1,417	(1,320.53)	2,737.53	1,417	(1,320.53)	17,000
Cable TV	4,899.76	5,095	195.24	4,899.76	5,095	195.24	61,140
Subtotal - Utilities	**12,104.98**	**10,420**	**(1,684.98)**	**12,104.98**	**10,420**	**(1,684.98)**	**152,840**
Subtotal - Payroll & Related	**0.00**	**0**	**0.00**	**0.00**	**0**	**0.00**	**0**
Insurance	0.00	8,475	8,475.00	0.00	8,475	8,475.00	101,701
Subtotal - Insurance	**0.00**	**8,475**	**8,475.00**	**0.00**	**8,475**	**8,475.00**	**101,701**
Management Fee	2,490.00	2,490	0.00	2,490.00	2,490	0.00	30,755
Office and Administrative Expe	300.88	292	(8.88)	300.88	292	(8.88)	3,500
Legal	0.00	250	250.00	0.00	250	250.00	3,000
Audit/Tax Prep	0.00	0	0.00	0.00	0	0.00	1,290
Subtotal - Administrative	**2,790.88**	**3,032**	**241.12**	**2,790.88**	**3,032**	**241.12**	**38,545**
Mechanical/Electrical/Plumbing	7,214.65	1,292	(5,922.65)	7,214.65	1,292	(5,922.65)	15,500
Exterior Repairs	160.21	500	339.79	160.21	500	339.79	6,000
Interior Maintenance	761.36	0	(761.36)	761.36	0	(761.36)	0
Interior Repairs	0.00	417	417.00	0.00	417	417.00	5,000
Maintenance Supplies	0.00	100	100.00	0.00	100	100.00	1,200
Custodial Services	1,178.55	1,180	1.45	1,178.55	1,180	1.45	14,160
Fire & Life Safety	0.00	500	500.00	0.00	500	500.00	6,000
Garage Maintenance	296.90	217	(79.90)	296.90	217	(79.90)	2,600
Subtotal - Repairs & Maintenan	**9,611.67**	**4,206**	**(5,405.67)**	**9,611.67**	**4,206**	**(5,405.67)**	**50,460**
Grounds Contract	3,274.14	3,012	(262.14)	3,274.14	3,012	(262.14)	32,000
Grounds Maintenance	0.00	292	292.00	0.00	292	292.00	3,500
Landscaping	0.00	167	167.00	0.00	167	167.00	2,000
Irrigation	0.00	169	169.00	0.00	169	169.00	2,500
Subtotal - Grounds	**3,274.14**	**3,640**	**365.86**	**3,274.14**	**3,640**	**365.86**	**40,000**
Property Taxes	0.00	17	17.00	0.00	17	17.00	200
Contingency	0.00	167	167.00	0.00	167	167.00	2,000
Subtotal - Other Expense	**0.00**	**184**	**184.00**	**0.00**	**184**	**184.00**	**2,200**
Deposit to Reserves	7,750.00	7,750	0.00	7,750.00	7,750	0.00	93,000
Subtotal - Reserve Contributio	**7,750.00**	**7,750**	**0.00**	**7,750.00**	**7,750**	**0.00**	**93,000**
Subtotal Shared	**0.00**	**0**	**0.00**	**0.00**	**0**	**0.00**	**0**

Summerhill Association, Inc.
Operating Income Statement
08/31/2023

c/o FirstService Residential
8100 Old Cedar Ave South #300
Bloomington MN 55425

	Monthly Actual	Monthly Budget	Monthly Variance	Year to Date Actual	Year to Date Budget	Year to Date Variance	Annual Budget
Total Expenses	**35,531.67**	**37,707**	**2,175.33**	**35,531.67**	**37,707**	**2,175.33**	**478,746**
Net Income/(Loss)	**4,289.33**	**1,969**	**2,320.33**	**4,289.33**	**1,969**	**2,320.33**	**0**